

Mark schemes

1. C [1]

2. C [1]

3. In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Where there is no **explicit** reference to the data, award a maximum of **21 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Issues and areas for discussion include

Introduction	- Definitions / descriptions of, e.g. - Privatisation - Public ownership
Developing the response to the question: (Application)	- Comments from own economic knowledge or based on the data, e.g. - Further comments on Extract A, (differences / similarities between different governments) - Examples from Extract B of privatisations - Dangers of privatisation mentioned in Extract C
Developing the response to the question: (Analysis)	NOTE There are two aspects to the question: privatisation vs. nationalisation, and domestic ownership vs. international ownership. To achieve Level 5 both aspects must be analysed and evaluated. Level 4 can be achieved by a thorough treatment of one aspect, as long as the other is addressed to some extent. - Arguments for nationalisation / against privatisation, e.g. - Externalities - Inability of markets to make long term predictions - Health and safety issues arising from environmental problems - The need for coordinated international action - Merit goods, demerit good, public goods - Arguments for privatisation / against nationalisation, e.g. - Efficiency - Competition, enterprise, efficiency - Signalling, incentive, rationing functions of price - Advantages / disadvantages of international cooperation. - Implications of inward investment; skills / knowledge transfer, comparative advantage vs. self-sufficiency, import substitution
Evaluation	- Evaluation of some specific privatisations, e.g railways, nuclear power, water - Discussion of the quotation (whether the exclusion of British state ownership can be justified if owners are nationalised by their states, or have the backing of a foreign sovereign wealth fund) - Advantages and disadvantages of a mixed economy approach - Market failure versus government failure - Need for privatisation to be accompanied by effective regulation - Globalisation and globalism - Protection vs. free trade; free movement of capital <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	- Relevant diagrams - An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

4.

For relevant definitions, e.g. commercial success, in terms of trade and profitability (2 marks), market failure, in terms of opportunity costs / externalities (2 marks)	Up to 2 marks per point defined or explained to a maximum of 4 marks
For explanation – award 1 mark for each link in a logical chain of reasoning to a maximum of 15 marks.	
Possible explanations include - A major international airport, such as Heathrow has multiplier effects on the local economy (1 mark). It is also important to the national economy as a transport hub (1 mark). The airport itself is these days likely to be a private sector enterprise (1 mark) and many other private sector organisations (shops, cafes, suppliers, contractors) will benefit from the economic activity (1 mark). If profitable, the whole enterprise will be a significant commercial success (1 mark). However, the government will be expected to provide infrastructure (1 mark) with an opportunity cost (1 mark). The taxpayer might not get an adequate return (1 mark). There are also environmental costs (1 mark) such as noise, air pollution and road congestion (1 mark for an example). Commercial success is measured by profits, whereas externalities and other market failures are difficult to measure (1 mark) therefore they can co-exist (1 mark). - An airport, such as Heathrow, as a major employer	
Use of diagrams to support explanations, e.g. Internal / external costs and benefits	Up to 2 marks per diagram (1 mark for labelling, 1 mark for information shown) to a total of 4 marks.
Relevant real world examples and/or relevant reference to the UK and/or other economies.	1 mark per reference to a maximum of 2 marks

[15]

5.

A

[1]

6.

The anticipated diagram would utilise: MC, MR, AR, AC and profits of a firm, before & after subsidy.

Relevant issues include:

- For a relevant explanation of a subsidy, e.g. in terms of support payment from a government and marginal cost in terms of the cost added to total cost by producing an extra unit of output.
- In its domestic market setting a firm might have a monopoly structure, while internationally it might have to act very competitively, as a price taker.
- Economic theory tells us that resources are efficiently allocated when price equals marginal cost.
- Monopolies usually raise price above marginal cost, signifying a transfer of resources from the consumer to the producer; a subsidy that puts price below marginal cost signifies a transfer of resources from the taxpayer to the firm.
- In the short run this might protect domestic firms from foreign competition; or it might be used to help an exporting firm eliminate competition. In the long run, firms that are protected by subsidies without improving their efficiency might be unable to compete when the subsidy is removed.

[9]

7.

Areas for discussion include:

- features of monopolistically competitive market including differentiated products, spare capacity, some influence over price, good information, no barriers to entry or exit, many producers and consumers
- pricing decisions are made independently of rivals' strategies
- short-run analysis explaining how firms set quantity by profit maximising ($MC=MR$), and the price they charge can be worked out from the AR curve. This leads to a degree of abnormal profit assuming $AC < AR$
- in the long run rival firms have an opportunity to enter the market, given absence of barriers to entry. This results in the existing firm's demand curve shifting left. The firms still profit maximise, but this is now at a lower level of output, where abnormal profit is likely to be lower/eliminated

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 15 marks
3	A good response provides an answer that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11 – 15 marks
2	A reasonable response provides an answer that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

[15]

**8.****Areas for discussion include:**

- explanation of privatisation and deregulation
- the arguments in favour of privatisation in general
 - efficiency
 - investment
 - greater responsiveness to customer needs
 - adoption of best practice (including from foreign firms)
 - building a shareholder culture
 - one-off impact on public finances
- the arguments against privatisation in general
 - higher prices due to monopoly/oligopoly power
 - reduced quality of service
 - reduced consistency of service
 - greater risk of externalities
 - difficulties in identifying the true value of state-owned assets at time of privatisation
 - costs incurred in the regulation of newly privatised industries
 - impact on employees and trade unions
- the arguments for and against introducing competition alongside privatisation
- impact on customer service quality, reliability and punctuality
- impact on customer price
- profitability of private operators
- impact on technological innovation and dynamic efficiency
- value for money for the taxpayer, perhaps with reference to the criticisms of the Government's handling of the sale of Royal Mail.
- impact on workers' job security, pay and conditions
- regulation of Royal Mail – the split model of competition in parcels but virtually a monopoly in letters allows for comparisons to be made about the different approaches
- reference to the fact that letter collection is more competitive than letter delivery, and the problems faced by Whistl in attempting to enter the latter market
- alternatives to nationalisation and privatisation: such as contracting out, subsidies
- the possibility of government failure, either in running a nationalised post service, or in organising the privatisation process
- market failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

**9.****Areas for discussion include:**

- features of monopolistically competitive industries and examples
- features of oligopolistic industries and examples
- features of monopoly industries and examples
- the objectives of government regulators – efficiency/fairness/safety/transparency/political objectives
- the view that regulators should focus on making markets (in whatever form) contestable, and not worry about the number of firms in the market
- reference to the fact that monopolistically competitive sectors have very low barriers to entry so are likely to be highly contestable
- monopolistic competition: picking up on the question's reference to excessive advertising spending (much of which is of little social benefit), excessive product differentiation and choice for consumers (too much choice?)
- examples of successful/unsuccessful regulatory interventions
- the ability of markets to reduce information asymmetries via, e.g. review websites, product testing websites
- the need for oligopoly regulation - anti-cartel investigation and enforcement, increasing competition via breaking up incumbents or encouraging start-ups or international competitors
- reference to The Competition and Markets Authority and sectoral regulators such as Ofgem and Ofwat
- different approaches to the regulation of monopolies
- allocative/productive/dynamic efficiency/X-inefficiency
- issues related to consumer/producer surplus
- issues related to economies of scale or natural monopolies
- the different types of government regulation – economic/health & safety/consumer rights, etc.
- market failure arguments
- government failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
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3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

10.

Response	Max 4 marks
- includes evidence that shows that the UK parcels delivery market is displaying dynamic efficiency. - clearly explains how this data is evidence that the UK parcels delivery market is displaying dynamic efficiency.	4 marks
- includes evidence that shows that the UK parcels delivery market is displaying dynamic efficiency. - unclear explanation of how this data is evidence that the UK parcels delivery market is displaying dynamic efficiency.	3 marks
- includes evidence that shows that the UK parcels delivery market is displaying dynamic efficiency. - limited or no explanation of how this data is evidence that the UK parcels delivery market is displaying dynamic efficiency.	2 marks
- includes evidence that does not clearly show that the UK parcels delivery market is displaying dynamic efficiency. - weak or no explanation of how this data is evidence that the UK parcels delivery market is displaying dynamic efficiency.	1 mark

Relevant issues include:

- explanation of the concept of dynamic efficiency
- revenue per employee has grown from approximately £160 000 in 2008 to £290 000 in 2014
- the number of employees in the sector has fallen from approximately 58 000 in 2008 to 47 000 in 2014
- these trends suggest that each employee has become more productive over time
- explanation of how this is likely to have been caused by improvements in technology, organisation, investments in capital.

[4]

11.

C

[1]

12.

Calculation:
 $32.8\% + 10.4\% + 10.3\% = 53.5\%$.

Response	Max 2 marks
For the correct answer to one decimal place	2 marks
For the correct answer without the % sign and/or not to one decimal place	1 mark

[2]

13.

A

[1]

14.

C

[1]

15.

B

[1]

16.

Areas for discussion include:

- explanation of 'inefficiently managed'
- distinction between firms operating in monopoly markets from those in competitive markets, and how profits may indicate monopoly power rather than good management
- discussion of objectives of firms, including the divorce of ownership from control, sales maximisation, revenue maximisation and other objectives
- in a profit-maximising monopoly firm, low profit may indicate the firm is badly run, perhaps due to x-inefficiency or diseconomies of scale
- alternatively, the firm could be attempting to prioritise scale, rather than profits at least in the short-run
- short-run vs long-run objectives of firms, and how these are influenced by the ownership of the firm, eg family firm vs listed firm vs nationalised firm
- in highly competitive industries, firms must be well run if they are to survive, but they are unlikely to be making any supernormal profits in the long run
- some industries are inherently less profitable, because of high costs, low degree of risk or low demand
- high levels of market contestability may result in low profits
- sometimes unexpected events can affect profitability (eg changing trends, environmental disasters, terrorism) which affect profits beyond the control of the firm's management
- examples of firms which support the question's claim, and those which do not
- the impact of government intervention on profitability
- the practice by some firms of disguising profitability to avoid paying corporation tax.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

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4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
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1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]



17.

Areas for discussion include:

- what is meant by technological progress
- the historical impact of technological progress and how it has affected labour markets
- current issues around technological unemployment (eg self-service supermarket checkouts, driverless trucks, self-service ticket machines)
- the likely impact on jobs and wages
- concerns about the impact of technological progress on inequality and poverty, linked to regional and sectoral differences (making use of Extract D)
- labour market imperfections which make it difficult for unemployed worker to transfer into other jobs or locations
- how automation is now threatening well-paid, high-status jobs such as surgeons and accountants, not only manufacturing or retail work, and that the determining factor for automation risk is whether the tasks are routine or varied
- the optimists' argument that robots will only be used where profit can be made, and this requires a customer base who need to have a source of income (most likely to come from wages)
- the benefits of allowing the price mechanism to function
- analysis and assessment of the consequences of technological progress as a result of dynamic efficiency on costs, output, quality in product markets
- analysis and assessment of: the UBI proposal, a robot tax, retraining programmes, job creation programmes or any other appropriate form of intervention
- discussion of possible government failure when designing policies in such a fast-moving area
- the case against intervention, to allow market forces to redistribute labour and other factors of production to where they are demanded
- the view that the basic economic problem of scarcity is unlikely to be solved and hence new jobs will always be created to replace those that are lost
- evaluation of how much automation is actually a problem that needs to be addressed
- market failure arguments
- government failure arguments.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
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3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

18.**Areas for discussion include:**

- definition of profit, normal profit, supernormal profit, firm
- the need for firms to make at least normal profit to remain in their present use, including short run vs long run requirements
- firms use of supernormal profits as a necessary inducement for risk-taking, source of investment funds, as a reward to the owners of the firm, as an indicator of the firm's health as a going concern and as a source of working capital
- the role of profit in the wider economy
 - as the incentive to establish and run any enterprise in a free market economy
 - investment in technology and innovation, eg public benefits of new drugs
 - as a source of income, especially for pensioners
 - as a signalling device for high growth industries, to promote the efficient allocation of resources within an economy
 - as a source of tax revenue.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 15 marks
3	A good response provides an answer that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11 – 15 marks
2	A reasonable response provides an answer that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

[15]

19.

Areas for discussion include:

- explanation of competition and the range of government policies to foster competition
- discussion of the nature of the UK banking sector and the historic dominance of Lloyds, Barclays, RBS Natwest and HSBC
- awareness of recent changes to the market structure, eg
 - 2008 financial crisis – Northern Rock, Bradford & Bingley bankruptcies
 - Lloyds-HBOS merger, TSB demerger
- innovation in the banking sector, resulting in a move away from FIIC accounts towards packaged accounts and cashback
- Big Four problems over unwieldy and costly IT infrastructure, diseconomies of scale and scope
- barriers to entry in the banking sector, including
 - legal/regulatory
 - physical, eg branch network
 - financial, eg start-up capital required
 - customer inertia (link to behavioural economics)
- comparison with other utilities' contestability
- discussion of possible policies, including
 - breaking up large banks (eg demerger of TSB and Lloyds, and attempted sale by RBS of Williams and Glyn)
 - price regulation
 - improving information in the market, eg price comparison websites and Customer Switching Service
 - nudge/behavioural policies (as per CMA Review)
- recent rise in new entrants and connection to the rise of internet banking
- benefits of competition
- benefits of concentration, eg economies of scale, high MES, high profits facilitating innovation
- the impact of market forces, creative destruction and new technology in the banking sector
- are the banks exploiting consumers, including possible collusion?
- the role of the Bank of England, the PRA and the FPC
- market failure arguments
- government failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

Response	Max 4 marks
- includes evidence that shows that workers in routine, repetitive work are at greater risk of automation than those whose work involves more variety - clearly explains how this data is evidence that workers in routine, repetitive work are at greater risk of automation	4 marks
- includes evidence that shows that workers in routine, repetitive work are at greater risk of automation than those whose work involves more variety - unclear explanation of how this data is evidence that workers in routine, repetitive work are at greater risk of automation	3 marks
- includes some limited evidence that shows that workers in routine, repetitive work are at greater risk of automation than those whose work involves more variety - limited explanation of how this data is evidence that workers in routine, repetitive work are at greater risk of automation	2 marks
- includes evidence that does not clearly show that workers in routine, repetitive work are at greater risk of automation than those whose work involves more variety - no explanation of how this data is evidence that workers in routine, repetitive work are at greater risk of automation.	1 mark

Relevant issues include:

- explanation of automation
- why workers in routine, repetitive work are at greater risk from automation
- how work in some sectors involves more varied, non-routine, skilled tasks than others
- wholesale and retail is the sector with the largest at-risk workforce (2.25 million)
- water, sewage and waste (62.6%), transport and storage (56.4%) and manufacturing (46.4%) are the sectors at highest risk if automation. All these sectors have a high proportion of workers employed in repetitive routine work
- the sectors at lowest risk include education (8.5%) and human health (17.0%), and professional, scientific and technical (25.6%). All these sectors have workers employed in very varied tasks.

[4]

21.

Response	Max 4 marks
- includes evidence that shows that the market power of the Big Four is weakening against competition from smaller rivals - clearly explains how this data is evidence of weakening Big Four market power.	4 marks
- includes evidence that shows that the market power of the Big Four is weakening against competition from smaller rivals - unclear explanation of how this data is evidence of weakening Big Four market power.	3 marks
- includes some limited evidence that shows that the market power of the Big Four is weakening against competition from smaller rivals - limited explanation of how this data is evidence of weakening Big Four market power.	2 marks
- includes evidence that does not clearly show that the market power of the Big Four is weakening against competition from smaller rivals - no explanation of how this data is evidence of weakening Big Four market power.	1 mark

Relevant issues include:

- explanation of the concept of market power
- factors that determine market power, eg market share, degree of competition
- the Big Four as a group have gained approximately 485 000 but lost 670 000, a net loss of 185 000
- Barclays and RBS Natwest have been the biggest net losers (100 000 and 115 000 respectively)
- Santander, TSB, Nationwide and others have gained approximately 435 000 but lost 253 000, a net gain of 182 000
- Nationwide and Santander are the biggest net gainers (110 000 and 83 000 respectively)
- Lloyds goes against the trend of the Big Four, by gaining customers.

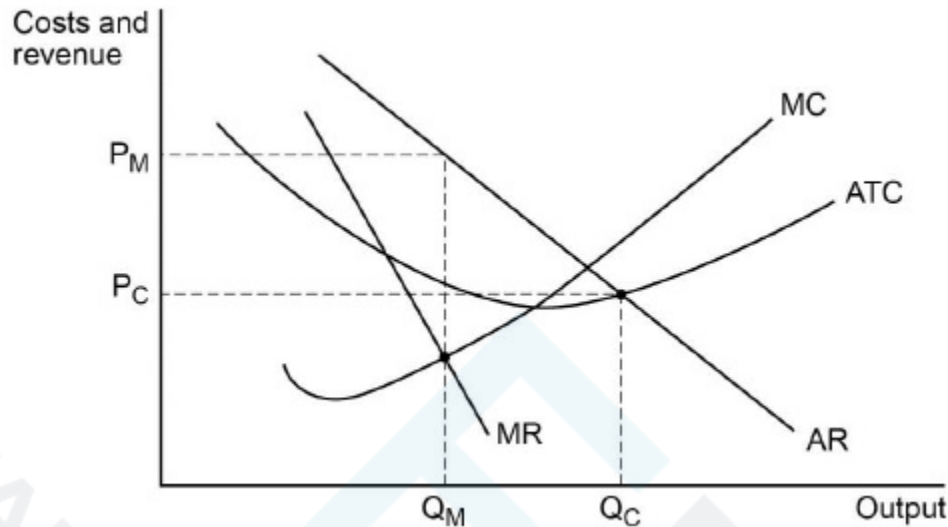
Note: Please allow a margin of +/- 5000 customers per bank.

[4]

Level of response	Response	Max 9 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7 – 9 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and/or data to the question - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram.	4 – 6 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1 – 3 marks

Suggested Diagram:

- a monopoly diagram is expected, showing a firm profit maximising initially, but subsequently reducing prices closer to (or at) normal profit. A monopolist facing potential entrants in a contestable market would fear entry and reduce price from P_M to P_C , with profits falling to just normal profits



- other reasonable diagrams are acceptable, eg monopolistic competition with the AR/MR shifting left because of entry.

Relevant issues include

- explanation of contestability and barriers to entry in the banking industry
- explanation of “new players”, including examples, such as Metro Bank
- why increased competition usually reduces prices and profits
- analysis of how supernormal profits can be driven towards zero by the presence (or even mere threat) of new entrants
- reference to increasing innovation and focus on customer service of new entrants
- explanation of how improving the customer switching service may reduce customer inertia
- reference to falling revenue per customer.

[9]

23.

Calculation:

$$153000/43000 = 3.558$$

Correct answer is 3.6:1, also allow 3.5:1, 3.7:1; or 1:0.3

Response	Max 2 marks
For the correct answer to one decimal place	2 marks
For the correct answer but not expressed as a ratio and/or not to one decimal place and/or not reduced to its simplest form	1 mark
For the answer expressed as a ratio of customers lost to customers gained, ie 0.3:1; or 1:3.6, also allow 1:3.5, 1:3.7	1 mark

[2]

24.

C

[1]

25.

Areas for discussion include:

- what is meant by 'firm'
- explanation of profit, drawing a distinction between normal and abnormal profit
- explanation of profit maximisation
- why profit is usually an important objective
 - reward to enterprise
 - source of finance for investment
 - signalling corporate health to shareholders
- how firms in perfectly competitive sectors have little choice but to pursue profit-maximisation but firms with monopoly power have greater flexibility
- how ownership of the firm affects behaviour and performance
- how the divorce of ownership from control and the principal-agent problem affect behaviour and performance
- revenue maximisation and sales maximisation as alternative objectives
- limitations to the feasibility of pursuing profit maximisation, for example the difficulty many firms face in calculating marginal revenue and marginal cost
- discussion of profit satisficing rather than maximising
- sales growth as a goal in itself, or as a short-term means to a long-term goal of profit maximisation
- non-financial objectives such as environmental goals and corporate social responsibility
- whether the assumption of profit-maximisation is any more or less valid than in the past
- examples of firms which have/have not pursued the aim of profit maximisation.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks